

Chapter – 1 Accounting Basics

Section – A Business & Accounting

Theoretical MCQs for practice

Choose the BEST option for each scenario.

1. The amount spent for annual insurance premium for an existing vehicle is generally a:
 - A. Revenue receipt
 - B. Capital receipt
 - C. Deferred revenue expenditure
 - D. Revenue expenditure**
2. The amount spent for carriage inward on goods purchased is generally a:
 - A. Capital expenditure
 - B. Deferred revenue expenditure
 - C. Revenue receipt
 - D. Revenue expenditure**
3. The amount spent for interest on bank overdraft used for the business purpose is a:
 - A. Revenue receipt
 - B. Capital expenditure
 - C. Capital receipt
 - D. Revenue expenditure**
4. The amount spent for constructing a new building is generally a:
 - A. Capital receipt
 - B. Revenue receipt
 - C. Deferred revenue expenditure
 - D. Capital expenditure**
5. The amount spent for major alterations in an office van to increase its carrying capacity is generally a:
 - A. Deferred revenue expenditure
 - B. Revenue receipt
 - C. Capital expenditure**
 - D. Capital receipt
6. The amount received from investment by owners is generally a.
 - A. Capital expenditure
 - B. Revenue expenditure
 - C. Revenue receipt
 - D. Capital receipt**
7. The amount spent for Initial fitting of an air-conditioner system in the office building is generally a:
 - A. Capital receipt
 - B. Capital expenditure**
 - C. Revenue expenditure
 - D. Revenue receipt
8. The amount spent for general administrative salaries during normal operations is generally a:
 - A. Revenue receipt
 - B. Deferred revenue expenditure
 - C. Capital receipt
 - D. Revenue expenditure**

9. The amount spent for monthly electricity bill of the business is generally a:
- A. Capital expenditure
 - B. Revenue expenditure**
 - C. Capital receipt
 - D. Revenue receipt
10. The amount received from long-term loan obtained from a bank is generally a:
- A. Capital expenditure
 - B. Revenue expenditure
 - C. Revenue receipt
 - D. Capital receipt**
11. The amount spent for training costs for staff to use a new machine is generally a:
- A. Revenue receipt
 - B. Deferred revenue expenditure
 - C. Revenue expenditure**
 - D. Capital receipt
12. The amount spent for repairing a truck engine to keep it in good running condition is generally a:
- A. Deferred revenue expenditure
 - B. Revenue expenditure**
 - C. Capital receipt
 - D. Capital expenditure
13. The amount received from customers for goods sold on cash is generally a:
- A. Deferred revenue expenditure
 - B. Revenue receipt**
 - C. Capital expenditure
 - D. Revenue expenditure
14. The amount spent for annual software subscription for office productivity tools is generally a:
- A. Revenue receipt
 - B. Deferred revenue expenditure
 - C. Capital receipt
 - D. Revenue expenditure**
15. The amount spent for freight and insurance on a new machine during transit is generally a:
- A. Deferred revenue expenditure
 - B. Capital receipt
 - C. Revenue receipt
 - D. Capital expenditure**
16. The amount spent for wages paid to factory workers for routine production is generally a:
- A. Deferred revenue expenditure
 - B. Capital expenditure
 - C. Revenue expenditure**
 - D. Revenue receipt
17. The amount received for sale of scrap and waste material from production is generally a:
- A. Revenue expenditure
 - B. Capital receipt
 - C. Capital expenditure
 - D. Revenue receipt**
18. The amount spent for legal charges to acquire a piece of land for the business is generally a:
- A. Capital expenditure**
 - B. Revenue expenditure
 - C. Deferred revenue expenditure

- D. Revenue receipt
19. The amount received for interest received on short-term bank deposits is generally a:
- A. Revenue expenditure
 - B. Revenue receipt**
 - C. Capital expenditure
 - D. Deferred revenue expenditure
20. The amount received for insurance claim received for loss of goods by fire is generally a:
- A. Revenue expenditure
 - B. Revenue receipt**
 - C. Deferred revenue expenditure
 - D. Capital receipt
21. The amount received from sale proceeds of a piece of land held as an asset is generally a:
- A. Revenue receipt
 - B. Capital receipt**
 - C. Capital expenditure
 - D. Revenue expenditure
22. The amount received from sale proceeds of an old machine is generally a:
- A. Deferred revenue expenditure
 - B. Capital receipt**
 - C. Revenue expenditure
 - D. Revenue receipt
23. The amount spent for cost of repainting the office building is generally a:
- A. Revenue expenditure**
 - B. Capital expenditure
 - C. Capital receipt
 - D. Deferred revenue expenditure
24. The amount spent for leveling and grading land for construction of a warehouse is generally a:
- A. Revenue receipt
 - B. Capital receipt
 - C. Deferred revenue expenditure
 - D. Capital expenditure**
25. The amount spent for repairs to a building damaged by a storm (no improvement) is generally a:
- A. Capital receipt
 - B. Deferred revenue expenditure
 - C. Capital expenditure
 - D. Revenue expenditure**
26. The amount received from commission income from agency services is generally a:
- A. Capital receipt
 - B. Revenue receipt**
 - C. Deferred revenue expenditure
 - D. Capital expenditure
27. The amount spent for spare parts of a small value used in routine repairs is generally a:
- A. Revenue expenditure**
 - B. Capital receipt
 - C. Revenue receipt
 - D. Deferred revenue expenditure
28. The amount received from subletting spare office space (operating) is generally a:
- A. Revenue receipt**
 - B. Revenue expenditure

- C. Deferred revenue expenditure
 - D. Capital expenditure
29. The amount spent for overhauling a second-hand machine to bring it into working condition is generally a:
- A. Deferred revenue expenditure
 - B. Revenue expenditure
 - C. Revenue receipt
 - D. Capital expenditure**
30. The amount spent for routine servicing of machines at regular intervals is generally a:
- A. Revenue receipt
 - B. Capital receipt
 - C. Capital expenditure
 - D. Revenue expenditure**
31. The amount spent for cost of defending a customer damages claim is generally a:
- A. Deferred revenue expenditure
 - B. Revenue expenditure**
 - C. Capital receipt
 - D. Capital expenditure
32. The amount spent for registration fee paid to purchase a vehicle is generally a:
- A. Revenue expenditure
 - B. Deferred revenue expenditure
 - C. Capital receipt
 - D. Capital expenditure**
33. The amount spent for lubricants and fuel used for a generator is generally a:
- A. Revenue expenditure**
 - B. Revenue receipt
 - C. Capital receipt
 - D. Capital expenditure
34. The amount for damages received from a supplier for late delivery affecting profits is generally a:
- A. Deferred revenue expenditure
 - B. Capital expenditure
 - C. Revenue receipt**
 - D. Capital receipt
35. The amount spent for compensation received from insurance for destruction of a machine is generally a:
- A. Revenue receipt
 - B. Capital expenditure
 - C. Deferred revenue expenditure
 - D. Capital receipt**
36. The amount spent for import duty on newly acquired machinery is generally a:
- A. Deferred revenue expenditure
 - B. Capital expenditure**
 - C. Capital receipt
 - D. Revenue expenditure
37. The amount spent for cost of software acquired with a perpetual license for the ERP system is generally a:
- A. Capital expenditure**
 - B. Deferred revenue expenditure
 - C. Revenue receipt

- D. Revenue expenditure
38. The amount spent on replacement of a substantial and separately identifiable major component of a machine is generally a:
- A. Revenue receipt
 - B. Revenue expenditure
 - C. Capital receipt
 - D. Capital expenditure**
39. The amount received from a partner as additional investment contribution is generally a:
- A. Capital receipt**
 - B. Deferred revenue expenditure
 - C. Revenue receipt
 - D. Revenue expenditure
40. The amount spent for Installing a new machine in the factory, including installation charges is generally a:
- A. Deferred revenue expenditure
 - B. Capital expenditure**
 - C. Revenue receipt
 - D. Revenue expenditure
41. The amount spent for commission paid to an agent for acquiring a non current asset is generally a:
- A. Capital expenditure**
 - B. Revenue receipt
 - C. Deferred revenue expenditure
 - D. Revenue expenditure
42. Which of the following is a capital expenditure?
- A. Commission income from agency services
 - B. Commission paid to an agent for acquiring a non current asset.**
 - C. Cash received from customers for goods sold
 - D. Training costs for staff to use a new machine
43. Which of the following is a capital expenditure?
- A. Insurance claim received for loss of goods by fire
 - B. Amount received from a partner as additional capital contribution
 - C. Freight and insurance on a new plant during transit**
 - D. Abnormal start-up losses on opening a large retail chain, to be written off over time
44. Which of the following is a revenue expenditure?
- A. Sale proceeds of a piece of land held as a fixed asset
 - B. Spare parts of a small value used in routine repairs**
 - C. Compensation received from insurance for destruction of a machine
 - D. One-time rebranding costs expected to yield benefits for multiple future periods
45. Which of the following is a revenue expenditure?
- A. One-time rebranding costs expected to yield benefits for multiple future periods
 - B. Routine servicing of machines at regular intervals**
 - C. Interest received on short-term bank deposits
 - D. Amount received from a partner as additional capital contribution
46. Which of the following is a capital receipt?
- A. Sale proceeds of a piece of land held as a non current asset**
 - B. Abnormal start-up losses on opening a large retail chain, to be written off over time
 - C. Amount received from sale of goods
 - D. Interest received on bank deposit account

47. Which of the following is a capital receipt?
- A. Abnormal start-up losses on opening a large retail chain, to be written off over time
 - B. Large pre-operative marketing campaign for a new product line to build long-term awareness
 - C. Leveling and grading land for construction of a warehouse
 - D. Long-term loan obtained from a bank**
48. Which of the following is a capital receipt?
- A. Damages received from a supplier for late delivery affecting profits
 - B. Lubricants and fuel used for a generator
 - C. Proceeds from amount invested by owner.**
 - D. Monthly electricity bill of the factory
49. Which of the following is a capital receipt?
- A. Sale of scrap and waste material from production
 - B. Cost of software acquired with a perpetual licence for the ERP system
 - C. Large pre-operative marketing campaign for a new product line to build long-term awareness
 - D. Proceeds from bank loan**
50. Which of the following is a revenue receipt?
- A. Abnormal start-up losses on opening a large retail chain, to be written off over time
 - B. Commission income from agency services**
 - C. Annual insurance premium for an existing vehicle
 - D. Initial fitting of an air-conditioner system in the office building
51. Which of the following is a revenue receipt?
- A. Large pre-operative marketing campaign for a new product line to build long-term awareness
 - B. Heavy advertisement for launching a new brand expected to benefit several years
 - C. Rent received from subletting spare office space (operating)**
 - D. Abnormal start-up losses on opening a large retail chain, to be written off over time
52. Which of the following is a revenue receipt?
- A. Cost of software acquired with a perpetual licence for the ERP system
 - B. Lubricants and fuel used for a generator
 - C. Insurance claim received for loss of goods by fire**
 - D. Large pre-operative marketing campaign for a new product line to build long-term awareness
53. Which of the following is a revenue receipt?
- A. General administrative salaries during normal operations
 - B. Cash received from customers for goods sold**
 - C. Sale proceeds of a piece of land held as a fixed asset
 - D. Security deposit received from a tenant for a long lease (refundable)
54. Capital expenditure is usually recorded in the:
- A. Statement of Profit or Loss
 - B. Statement of Financial Position**
 - C. Cash Flow Statement only
 - D. Notes only
55. Carriage inward on goods purchased is:
- A. Capital expenditure
 - B. Revenue expenditure**
 - C. Deferred revenue expenditure
 - D. Capital receipt

56. Installation cost of a newly purchased machine is:
- A. Revenue expenditure
 - B. Capital receipt
 - C. Capital expenditure**
 - D. Revenue receipt
57. Which statement is TRUE regarding revenue receipts?
- A. They arise from non-recurring transactions only
 - B. They are related to normal operations of the business**
 - C. They always reduce liabilities
 - D. All of the above
58. A large one-off repair that merely restores an asset to its previous condition should be treated as:
- A. Capital expenditure
 - B. Revenue expenditure**
 - C. Deferred revenue expenditure
 - D. Revenue receipt
59. A major overhaul that increases the useful life or capacity of a machine is:
- A. Revenue expenditure
 - B. Capital receipt
 - C. Capital expenditure**
 - D. Revenue receipt
60. Sale proceeds of old furniture used in the office are:
- A. Revenue receipt
 - B. Capital receipt**
 - C. Revenue expenditure
 - D. Capital expenditure
61. Which of the following will NOT be a capital expenditure?
- A. Import duty on the new machine
 - B. Installation charges
 - C. Training costs for staff to operate the machine**
 - D. Freight-in for the machine
62. Receipts that are irregular and not earned from normal trading activities are usually:
- A. Revenue receipts
 - B. Capital receipts**
 - C. Revenue expenditure
 - D. Deferred revenue expenditure
63. Which of the following is MOST accurate?
- A. Capital expenditure yields benefits restricted to the current period
 - B. Revenue expenditure generally provides benefits over several years
 - C. Capital expenditure results in acquisition or improvement of non-current assets**
 - D. Revenue receipts alter the capital structure.
64. Compensation from insurance company for loss of goods is:
- A. Capital receipt
 - B. Revenue receipt**
 - C. Revenue expenditure
 - D. Deferred revenue expenditure
65. Compensation from insurance company for loss of a building is:
- A. Capital receipt**

- B. Revenue receipt
 - C. Revenue expenditure
 - D. Deferred revenue expenditure
66. According to the Conceptual Framework, an ASSET is:
- A. A probable future benefit expected to be received
 - B. A present economic resource controlled by the entity as a result of past events**
 - C. Any item owned by the entity with measurable cost
 - D. A contractual right to receive cash only
67. An ECONOMIC RESOURCE is defined as:
- A. A right that has the potential to produce economic benefits**
 - B. Cash or cash equivalents
 - C. Inventory held for sale
 - D. Any physical property owned
68. A LIABILITY is:
- A. A present obligation of the entity to transfer an economic resource as a result of past events**
 - B. Any amount due within one year
 - C. A contractual obligation only
 - D. Any legal claim by suppliers
69. EQUITY is:
- A. The amount invested by owners
 - B. Residual interest in the assets of the entity after deducting liabilities**
 - C. Total share capital plus reserves
 - D. Retained earnings only
70. INCOME is defined as:
- A. Increases in assets or decreases in liabilities that result in increases in equity, other than investment from owners.**
 - B. Any cash inflow
 - C. Revenue from sale of goods only
 - D. Dividend received only
71. EXPENSES are:
- A. Cash payments only
 - B. Decreases in assets or increases in liabilities that result in decreases in equity, other than distributions to owners.**
 - C. Any decrease in cash
 - D. Losses only
72. Present obligation exists when:
- A. A future management plan may require payment
 - B. The entity has no practical ability to avoid the transfer of economic resource.**
 - C. A purchase order is placed
 - D. Management intends to settle
73. Elements of financial statements DO NOT include:
- A. Assets
 - B. Liabilities
 - C. Income and expenses
 - D. Cash and bank**
74. A complete set of financial statements includes all EXCEPT:
- A. Statement of Financial Position
 - B. Statement of Profit or Loss and Other Comprehensive Income

- C. Statement of Changes in Equity
 - D. Directors' Report**
75. Bank overdrafts are generally:
- A. Non-current liabilities
 - B. Current liabilities**
 - C. Equity
 - D. Off balance sheet item
76. Advance received from customer for goods to be delivered next year is:
- A. Asset
 - B. Liability**
 - C. Income
 - D. Equity
77. The **primary objective** of financial reporting is to provide information useful to:
- A. Employees and trade unions
 - B. Existing and potential investors, lenders, and other creditors**
 - C. Tax authorities only
 - D. Customers and suppliers only
78. Financial statements explain an entity's:
- A. Market share and customer satisfaction
 - B. Production capacity at any time
 - C. Financial position at period end and performance over the period**
 - D. Environmental impact only
79. In a **sole trader/partnership**, responsibility for preparing financial statements rests with:
- A. The external auditor
 - B. The owners/partners**
 - C. The tax authority
 - D. The Registrar of Companies
80. In companies, the **ultimate responsibility** to ensure financial statements are prepared rests with:
- A. The board of directors**
 - B. The audit firm
 - C. The shareholders
 - D. The CFO alone
81. For companies in Pakistan, financial statements are prepared **in accordance with**:
- A. Income Tax Ordinance only
 - B. Companies Act, 2017 and IFRSs**
 - C. Local chamber of commerce rules
 - D. GAAS only
82. For sole traders/partnerships, financial statements:
- A. Must fully comply with all accounting standards
 - B. Need not be prepared under any principles
 - C. Are private and may follow accepted principles and practices without full standards compliance**
 - D. Must be published on a website

83. The collective set of concepts, laws, rules, and regulations used to prepare and present financial statements of limited companies is known as:
- A. GAAS
 - B. GAAPs**
 - C. CSR
 - D. ESG
84. IFRSs are issued by the:
- A. International Accounting Standards Board (IASB)**
 - B. International Auditing Standards Board
 - C. World Bank
 - D. Basel Committee
85. For **sole traders/partnerships**, disclosure of financial statements is generally:
- A. Mandatory to the public
 - B. Optional except to tax authorities (and possibly a lending bank)**
 - C. Mandatory to suppliers
 - D. Mandatory to customers
86. In companies, who **prepares** the financial statements?
- A. The shareholders
 - B. The external auditor
 - C. Management/accounting team, under directors' responsibility**
 - D. The tax authority
87. Which statement best describes **GAAPs**?
- A. Only a list of IFRS disclosure notes
 - B. A set of principles, conventions, and rules governing financial accounting & reporting**
 - C. A tax compilation manual
 - D. A set of internal control checklists
88. **Investors** mainly use financial statements to assess whether to:
- A. Change suppliers
 - B. Buy, hold, or sell investments and assess dividend-paying ability**
 - C. Set wage levels
 - D. Impose taxes
89. **Lenders** use financial statements primarily to evaluate:
- A. The entity's brand value only
 - B. Ability to pay interest and repay principal at maturity**
 - C. Share price targets
 - D. Customer satisfaction
90. **Suppliers** look at financial statements to decide:
- A. How much credit to safely allow**
 - B. How to price consumer products
 - C. Which tax rate to apply
 - D. Internal staff bonuses
91. **Government** may use financial statements for:
- A. Setting internal audit fees
 - B. Business regulation and taxation policy decisions**

- C. Marketing approvals
 - D. Approving board appointments
92. According to the IASB Framework note cited, the **public** may be interested because entities:
- A. Always donate to charities
 - B. Contribute to the local economy (e.g., jobs and patronage of local suppliers)**
 - C. Must share profits with citizens
 - D. Are owned by the government
93. **Employees** use financial statements primarily to assess:
- A. Executive travel policies
 - B. Financial stability/profitability and potential for higher wages or more jobs**
 - C. Advertising budgets
 - D. Shareholder meeting agendas
94. **Customers** can be interested in an entity's financial statements to evaluate:
- A. Competitors' product quality
 - B. The entity's financial strength for long-term supply**
 - C. Tax rebates
 - D. Management bonuses
95. **Managers** and financial statements: which statement is most accurate?
- A. Managers rely only on published statements and cannot access more detail
 - B. Managers should have access to all financial information they need, beyond published statements**
 - C. Managers are not users of financial information
 - D. Managers are prohibited from preparing financial statements
96. Who is explicitly said to be **responsible for producing** the financial statements?
- A. External auditor
 - B. Management**
 - C. Shareholders collectively
 - D. Government
97. Why might a **customer** care about a supplier's financial statements?
- A. To set the supplier's tax rate
 - B. To gauge reliability of long-term deliveries**
 - C. To influence the supplier's dividend
 - D. To choose board members
98. Which pair correctly matches the user with the **primary information need**?
- A. Suppliers — dividend policy
 - B. Lenders — credit risk and repayment capacity**
 - C. Investors — payroll details
 - D. Government — advertising spend
99. The public interest mentioned in the Framework includes factors like:
- A. Hosting annual sports events
 - B. Number of people employed and patronage of local suppliers**
 - C. Management entertainment expenses
 - D. Director share options

100. Investors may look at financial statements for **dividends** because they:

- A. Show guaranteed future dividends
- B. Indicate the company's ability to pay dividends out of profits**
- C. Include negotiated dividend amounts with shareholders
- D. Are set by auditors

101. Employees may use financial statements to form a view on:

- A. Product design
- B. Ability of the employer to pay higher wages or expand jobs**
- C. Tax investigation risk
- D. Environmental certifications

102. Suppliers use financial statements to determine:

- A. Audit firm selection
 - B. Safe credit limits to extend**
 - C. The customer's product mix
 - D. Government grant eligibility
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